

Audits of Less Complex Entities¹—Issues

Objective of the Agenda Item:

The objective of this Agenda Item is to:

- (a) Provide an overview of the feedback received to date related to audits of Less Complex Entities (LCE's), including from the Discussion Paper (DP), [*Audits of Less Complex Entities \(LCEs\): Exploring Possible Options to Address the Challenges in Applying the ISAs*](#);
- (b) Obtain Board views about the proposed direction for the way forward that will enable the LCE Working Group to develop recommendations for Board consideration in March 2020 (see Section VI); and
- (c) Obtain agreement from the Board to publish the Feedback Statement (see **Agenda 6-A** and Section VII of this paper).

This Agenda Item provides:

- (a) An overview of respondents' feedback to the DP;
- (b) An update on results of the International Federation of Accountants (IFAC) LCE Survey;
- (c) A summary of the discussions from the Paris LCE Conference held in May 2019; and
- (d) The LCE Working Group's views on these matters,

to help inform the Board in its deliberations about a possible way forward. As this is the first time the Board will discuss the responses to the DP, several papers have been provided as background and supplemental information (see Section I).

Approach to the Board Meeting:

The Chair of the LCE Working Group will present high-level feedback from what we have heard, and explain the LCE Working Group's views for a way forward. The Chair will then ask for Board views to the questions presented in this Agenda Item.

The Draft Feedback Statement (**Agenda Item 6-A**) relating to the input received has also been presented for discussion, and the LCE Working Group would like to publish this document shortly after the December 2019 IAASB meeting. The Board discussions will focus on substantial issues relating to the Draft Feedback Statement, any matters of an editorial nature relating to the Draft Feedback Statement should be sent to Staff (Kalina Shukarova and Bev Bahlmann) by Friday December 6, 2019.

I. Introduction and Approach to this Paper

1. This paper sets out:

- A summary of the broad range of stakeholders who have responded to the DP, as well as the related surveys (see **Section II** of this paper);
- A summary of the discussions at the Paris LCE conference (see **Section III** of this paper);
- Overarching themes from the written responses to the DP (see **Section IV** of this paper);

- A summary of the responses by significant theme (see **Section V** of this paper), as well as the LCE Working Group views on these matters;
- LCE Working Group proposals for a way forward (see **Section VI** of this paper); and
- Draft Discussion Paper (see **Section VII** of this paper).

Materials Presented—Appendices, Other Agenda Items Accompanying This Paper and Supplements to this Paper

2. **Appendix 1** to this Agenda Item sets out a list of respondents to the DP.
3. **Appendices 2-A and 2-B** provide additional risk-based factors relevant to the entity and the audit provided by respondents to be considered within the LCE definition.
4. **Appendix 3** to this Agenda Item provides the listing of Nvivo reports and Excel spreadsheets for each question in the DP.
5. **Appendix 4** to this Agenda Item provides an overview of the LCE WG's activities.
6. **Agenda Item 6-A** sets out the Draft Feedback Statement detailing what the IAASB had heard from the consultation.
7. **Agenda item 6-B.1 - 6-B.11 to Agenda item 6-C.1 - 6-C.11** includes the Nvivo reports that include the actual comments from the respondents on the questions summarized in Sections IV – V.
8. **Supplement A** to this Agenda Item sets out an itemized list of specific areas within the ISAs that respondents to the DP noted were difficult to apply in LCE audits.

Presentation of Respondents' Comments

9. The Task Force has used Nvivo to assist with the analysis of comments to the DP. The following sets out how the comments have been assimilated to present the matters set out in each of the "Respondents' Comments Sections" of this Agenda Item.
10. The high-level summary of respondents' comments within this Agenda Item are intended to support the direction for IAASB action being proposed by the LCE Working Group to respond to the overarching and individual matters raised.
11. To navigate between the actual responses and the matters related to respondents' comments presented in this Agenda Item, Excel summary spreadsheets have been prepared by IAASB Staff for each relevant section to analyze which respondents have commented (each Excel summary spreadsheet is in a tabular format setting out a listing of respondents and broad themes within the responses, and indicating if a respondent had made a comment within that broad theme). The Excel summary spreadsheet also indicates the support for the relevant proposals, where applicable. Each Excel summary spreadsheet links back to a report generated using Nvivo (noted at the top of each Excel summary spreadsheet).
12. Each Nvivo report contains the respondents' answers to a specific question from the DP. Accordingly, matters noted within this Agenda Item relating to respondents' comments can be traced back to the Excel summary spreadsheet, and from there to the individual comments made in the Nvivo report.
13. A listing of the relevant Nvivo reports and the corresponding Excel spreadsheets can be found in **Appendix 3**.

¹ [Discussion Paper, Audits of Less Complex Entities](#)

II. Responses from a Broad Range of Stakeholders

14. The DP was out for comment until September 12, 2019. Ninety-three written responses were received from a broad range of stakeholders across many regions (see **Appendix 1**):

Stakeholder Type	No.	Region	No.
Monitoring Group	1	Global	18
Regulators and Audit Oversight Authorities	5	Asia Pacific	16
National Auditing Standard Setters	14	Europe	28
Accounting Firms	25	Middle East and Africa	13
Public Sector Organizations	2	North America	8
Member and Other Professional Organizations	34	South America	10
Academics	1	Total	93
Individuals and Others	11		
Total	93		

15. The LCE Working Group were pleased with the wide cross-sectional reach of the written responses received, both in terms of stakeholder type and geographical dispersion of respondents, and the quality and thoughtfulness of their written responses.

Surveys

16. In developing some of the responses, surveys were undertaken in various regions including Australia, New Zealand, Norway, Brazil, South Africa and Uganda. The total number of responses to such surveys were 656,² although these surveys have been treated as part of the written responses which they specifically informed.
17. In addition, IFAC also undertook a survey designed to gather feedback from various stakeholders including those who would likely not otherwise send a written response to the IAASB DP. The DP was used as basis for this survey, and the questions asked were similar (although not all were exactly the same because of the nature of a survey). 1,706 responses were received from 142 jurisdictions.

Stakeholder: Respondent from	No.	Region	No.	Countries
Regulators and Audit Oversight Authorities	64	Asia Pacific	315	29
National Standard Setters	23	Europe	542	39
Public Practice	947	Middle East and Africa	509	46
Public Sector	86	North America	67	2
IFAC Member Organizations	57	South America	273	26
Academics	98	Total	1,706	142
Preparers of Financial Statements	327			
Those Charged with Governance	32			
Investors / Analysts	27			
Others	45			
Total	1,706			

² Not all countries undertaking the survey provided the numbers of respondents.

III. Summary of the Discussions at the Paris LCE Conference

18. In May 2019, the IAASB, together with the Compagnie Nationale des Commissaires aux Comptes (CNCC) / the Conseil Supérieur de l'Ordre des Experts-Comptables (CSOEC)), convened a second working conference in Paris, attended by 73 participants from 24 jurisdictions. The first day of the conference was focused on gathering input and views from participants, which will be used to help inform the IAASB on the questions raised in the DP.
19. A summary of views and perspectives of participants at the Paris Conference related to audit of LCEs is provided below:
- (a) *Views on what is an LCE:*
- (i) In respect of the description of an LCE, participants had mixed views on whether entities with a significant public interest should be excluded from the scope of an LCE, and while some thought it was necessary to specifically exclude such entities, others thought that small and less complex entities with a degree of public interest (including ones with few activities) could still be considered LCEs.
 - (ii) Other comments included the need to clarify circumstances when an LCE forms part of a larger, more complex group and the need to exclude certain entities which operate in industries with regulatory oversight.
 - (iii) With regard to the characteristics used to describe an LCE, participants commented that leaving out size altogether and focusing only on complexity may lead to ambiguity in certain circumstances. It was noted that a possible approach could be to determine what is a large and complex entity or to define complexity more precisely. Participants had the view that any criteria used need to remain principle-based to allow the auditor to exercise professional judgement. However, other participants had the view that adding quantitative criteria could add clarity, recognizing that it is difficult to determine a globally acceptable solution for all jurisdictions.
 - (iv) Participants also expressed views that some of the characteristics of the definition of LCE need to be clarified, including the criteria about “ownership” as this could cause difficulties for classification of certain entities in the public sector.
- (b) *Views on the root causes of the challenges in applying ISAs in LCE audits:*
- (i) With regard to the factors driving challenges within the scope of IAASB’s work, participants indicated length, language and increased complexity (in particular in some of the most recent ISAs) as the underlining causes of many of the challenges with applying the ISAs in an audit of an LCE. Participants also noted that the ISAs are difficult to navigate, have extensive documentation requirements, and have a “top down” approach which affects their scalability.
 - (ii) With regard to matters not within the remit of the IAASB, participants highlighted the increased complexity of the financial reporting standards, issues with respect to regulatory inspections and fee pressures leading to commoditizing the audit, as some of the causes for the underlining challenges with audits of LCEs. Participants also highlighted the lack of resources of auditors of LCEs to invest in education and training, as well as issues related to attracting and retaining talent.

(c) *Views on possible actions, including implications and consequences:*

(i) Option A – Revising the ISAs

Participants had mixed views on this option, and while some believed it is not a practical solution as it will likely take dedicated resources and years to complete, others noted that this action is a preferred approach. Regarding the way that the revisions should be made, participants broadly believed a phased approach would be more appropriate, allowing focus on first revising standards where there is a greatest need (such as ISA 315 (Revised)³, ISA 240⁴ and ISA 540⁵). Participants also thought that although this may be an opportunity to simplify ISAs for all audits, revising the ISAs could also lead to adding more requirements and length to the standards.

(ii) Option B – Developing a Separate Auditing Standard for Audits of LCEs

There was a noted shift in views regarding the development of a separate standard among participants at the 2019 conference compared to the discussions at the January 2017 conference (i.e. participants seemed more open to a separate standard for auditing LCEs). Participants cautioned that this approach may create a risk of having two different approaches to an engagement but with the same level of assurance, but also noted that this may provide an opportunity to develop a new and simplified way of drafting standards. Participants emphasized that a separate standard (if developed) should be based on the ISAs, and therefore there would be a need to map the current ISA requirements to determine the applicable ones to be considered while developing the new standard. With regard to the implications of developing a separate standard, participants indicated the need for additional maintenance of two standards (i.e., the ISAs and the new standard). It was also highlighted that some issues may surface in respect of group audits and international consistency.

(iii) Option C – Developing Guidance for Auditors of LCEs

Participants recognized the importance of having guidance to support ISA application, but expressed a preference that the guidance should remain out of the standards and that some of the present application material could be re-configured as guidance. However, participants recognized that while guidance can be an appropriate interim solution, this may add to the length and burden of the volume of materials already available.

20. Views were expressed that a “package of solutions” may be needed, including guidance and training tools and that use of illustrations, flowcharts and decision trees to simplify the ISAs, and help with understandability, is useful.
21. It was also emphasized that enhancing the navigation ability of the Handbook was also essential.

IV. Overarching Themes from Written Responses to the Discussion Paper

22. Respondents to the DP overwhelmingly supported the IAASB’s work in determining how best to apply the ISAs in audits of LCEs, emphasizing the importance of the need for an urgent, and global, solution. An

³ ISA 315 (Revised), *Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment*

⁴ ISA 240, *The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements*

⁵ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

overarching theme throughout the responses related to the support of the respondents of the IAASB initiative to address matters which would not diminish audit quality related to audits of LCEs.

23. There were mixed views about all of the options, with no clear path forward (both between the options and within the options). However, there were many who suggested that the way forward may well consist of a combination of the options.
24. The various initiatives underway at either jurisdictional or regional levels relating to a separate standard (including where a separate standard has been developed) was highlighted as a significant concern, as this was seen as having the potential to fragment the approach to auditing LCE's rather than having an equally recognized quality at a global level.
25. In addition, woven throughout the respondent's feedback was the call for the standards to be transformed into an electronic format, ideally with sophisticated navigation and search capabilities.
26. The detailed feedback from the specific questions in the DP can be found in Section V.

V. Summary of Responses by Significant Theme

Definition of LCE's

Summary of Respondents' Comments Relating to Definition of LCE's (see Nvivo Report 6-B.1, and Excel Summary 6-C.1)

- Support for a principles-based approach using qualitative characteristics
- Further consideration needed about what the qualitative characteristics are, including a number of suggestions about other risk-based factors
- Mixed views on excluding 'listed' or 'public interest entities' expressed
- Caution that description needs to be in context of outcomes of IAASB's work – so that description is relevant. Therefore detailed discussion on descriptive factors can wait until after discussion of options of best way forward.

Types of Entities that Should be Considered LCEs

Written Responses

27. In respect of types of entities that should be considered part of the LCE definition, respondents indicated that further consideration should be provided with respect to the following:
 - (a) Given that both large and small entities can be complex, it is important that the LCE definition avoids any ambiguity, and excludes from its scope entities listed in regulated markets or those who have issued public debt;
 - (b) The definition of LCEs should provide adequate consideration for entities classified as Public Interest Entities (PIEs) as defined by the International Ethics Board for Accountants' (IESBA) Code of Ethics, and national regulations, including unlisted banks and insurers, entities receiving a significant portion of its income from public sources, charities, or entities raising crowdfunding, given that such entities tend to have greater public accountability and carry a higher overall risk;

- (c) Given that LCEs may be a component of a more complex group or PIEs, the definition should provide sufficient clarity as to how it is applied to the audit of the separate entities forming part of a group; and
 - (d) The present definition of LCE does not provide sufficient considerations relevant for non-for-profit organizations and public sector entities.
28. Respondents expressed views that as this project is still in its information gathering and research phase, the IAASB should not spend significant amounts of time and effort debating the appropriate definition of an LCE and that such deliberations can wait until appropriate outcomes of this consultation are determined.

Monitoring Group Response

29. The one Monitoring Group (MG) respondent strongly believed that any standard(s) for LCEs and any specific guidance or application material developed should not be applicable to listed entities, irrespective of their size or complexity. While recognizing that the ISAs do not override local laws, the MG respondent cautioned that should LCEs be defined as currently proposed in the DP, there is a risk that some listed entities could be potentially classified as “less complex” and could be audited under a less rigorous framework. It was also noted that similar concerns may exist for some non-listed entities that are considered public interest entities in their jurisdiction.
30. In respect of groups, the MG respondent expressed the view that while they agree with the concept of “less complex entity” and that this concept is better aligned with the risk-based approach of the ISAs, a distinction may be particularly relevant in the context of groups and consolidated financial statements, for example when a number of LCEs may be included in a complex consolidation and that specific procedures may need to be performed on those entities to address the group audit.

Risk-Based Factors Considered in the LCE Description

Written Responses

31. Respondents expressed views that the qualitative characteristics provided in the DP are a good starting point for developing the LCE definition, and highlighted that should the outcome of this consultation process result in development of a separate auditing standard for LCEs, further guidance and examples would be necessary to avoid ambiguity, ensure consistent application of the LCE designation across jurisdictions, and reduce the risk of improper classifications, which otherwise may result in an adverse effect to audit quality.
32. Respondents broadly agreed that the qualitative characteristics are not exhaustive or exclusive to LCEs, and that while making the determination, adequate consideration should be given to the interaction between the different factors as not all LCEs will necessarily display all characteristics. Respondents had the view that the characteristics should not be used as a checklist, but rather all factors should be considered together, and judgement should be applied when determining the LCE designation. Respondents also highlighted that the LCE designation should be a continual assessment that could

change over time, and called for further guidance on how to weigh the importance of each characteristic in such conditions.

33. While respondents supported the shift in focus from “size” to “complexity,” they expressed concerns that the characteristics in the definition of the DP continue to emphasize size and volume and there is a need for their reconsideration, including:
- (a) The criteria of “*concentration of ownership and management*” does not define the complexity of an entity, and there is also ambiguity with this characteristic that should be supplemented with public accountability aspects (for example possible ambiguity with respect to designation of companies with a single shareholder; such as State-owned companies, or entities with no shareholders; such as charities);
 - (b) Given that many smaller entities are part of a larger group, the reference to “*another enterprise that owns the entity provided the owner exhibits the relevant qualitative characteristics*” may cause confusion as to whether there are any restrictions to application of the definition to the stand-alone statutory audit of that entity;
 - (c) Terminology used in the definition should be clarified, and in certain cases reconsidered, as is presently seen to be unclear and open to wide interpretation (for example the use of terminology such as “*few*” or “*simpler*”);
 - (d) The characteristics concerning “*few lines of business and few products within business lines*” and “*few internal controls*” should be reconsidered as these are not related to complexity (for example the absence of internal controls is not an indicator that an entity is not complex and large complex entities can have one dominant product or service);
 - (e) The characteristic concerning “*simple record keeping*” is deemed very important but needs to be further clarified and specific guidance provided as to what is considered simple record keeping; and
 - (f) The characteristic concerning “*few personnel, many having a wide range of duties*” may need to be reconsidered given the ongoing advancement of emerging technologies.
34. In respect of supplementing the present definition with quantitative criteria, respondents expressed views that at an international level this is not desirable, however acknowledgement that certain jurisdictions have determined national size thresholds or stakeholder matrixes may be useful.
35. Respondents noted that further clarity should be provided in respect of whether the “complexity” determination is measured from the entity’s perspective or from the auditor’s perspective, and called for expanding the LCE definition with additional risk-based factors, relevant both to the entity and the audit.
36. **Appendices 2-A and 2-B** to this Agenda item provides a list of additional risk-based factors proposed by respondents relevant to the entity and the audit that could be further considered in the LCE definition.

Monitoring Group Response

37. The one MG respondent indicated that careful consideration of the LCE definition must be made to ensure it does not become a checklist-based definition, and that the definition appropriately links into the auditor’s understanding of the entity required to be obtained under the existing ISAs.

LCE Working Group Views

38. In further considering the responses with regard to the Definition of LCEs, the LCE Working Group has made the following observations:
- (a) It would be more appropriate to characterize the explanation of a less complex entity as a “description” rather than a “definition.” The usefulness of such a description is dependent on the course of action eventually undertaken by the IAASB, and it is at that time that both the status and the content should be considered in more detail. The LCE Working Group recognizes that developing a detailed and prescriptive definition would not be a preferred approach at this time, and that having a broad “description of an LCE” would better help the IAASB’s stakeholders understand what is meant by the use of the term for the purposes of its current work. Further consideration can then be given to this concept in light of what it may be used for at a later time;
 - (b) Should separate requirements for audits of LCEs be developed (for example in a separate standard), clear guidelines would need to be provided as to the suitability of the separate requirements (and how they may apply) to the audit of certain types of entities. A possible approach would be to indicate that such separate requirements have been developed taking into account the specific characteristics of LCEs, and that the relevant procedures are not considered suitable for specified types of entities (for example, listed entities), while allowing the decision for which audits are required or permitted to use the separate requirements to rest with legislative and regulatory authorities, or national standard-setters, in individual jurisdictions; and
 - (c) Further consideration will need to be given to the qualitative characteristics within the description, as well as how risk-based factors may be included.

Challenges Related to Applying the ISAs in Audits of LCEs

Summary of Respondents’ Comments Relating to Challenges to Applying the ISAs in Audits of LCEs (see Nvivo Reports 6-B.2, 6-B.3 and 6-B.4, and Excel Summaries 6-C.2, 6-C.3 and 6-C.4)

Challenges for the IAASB:

- Overall length and volume of the standards
- Complexity is an issue, as well as increasing level of prescriptiveness in standards
- Some prescribed procedures in some cases do not have a benefit or add little value
- Lack of support tools and guidance
- Specific ISAs highlighted include ISA 230⁶ (documentation), ISA 240 (fraud), ISA 315 (Revised 2019) (identifying and assessing risks) and ISA 540 (Revised) (accounting estimates)

Challenges for Others:

- Increased complexity of financial reporting standards
- Pressure from regulators driving a “checklist approach” and overshadowing professional judgement
- Fee pressures
- Issues related to attracting and retaining talent in the auditing profession
- Lack of resources to invest in education and training

⁶ ISA 230, *Audit Documentation*

Underlining Causes of the Challenges with ISAs

Written Responses

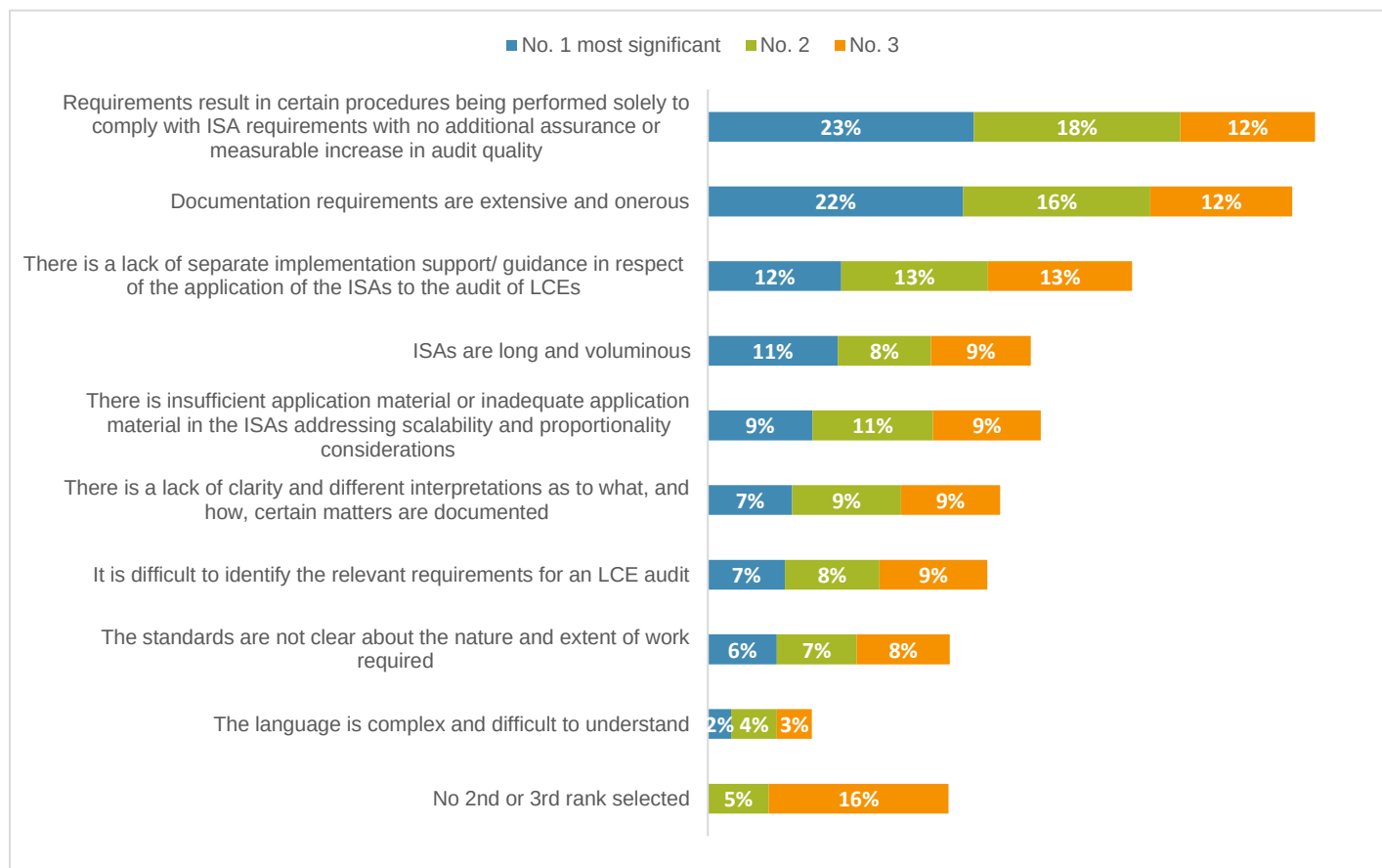
39. Respondents broadly supported the root causes of the challenges within the scope of the IAASB's work on audits of LCEs, as identified in the DP, and expressed views that the underlining causes and challenges related to applying ISAs are often not unique for audits of LCE as they have a pervasive significance for all audits.
40. Respondents noted the following overarching challenges with the ISAs:
- (a) The overall length and volume of the ISAs when applied together;
 - (b) Use of complex language;
 - (c) Increasing level of prescriptiveness and moving away from being principle based;
 - (d) Onerous documentation and other requirements which lead to a “checklist approach” with audits leading to diminishing application of professional judgement;
 - (e) The overall approach to standards, and lack of clarity as to how the requirements can be scalable to LCE audits considering that ISAs are currently written with a “top down” approach;
 - (f) Increasing focus of the ISAs on key topics noted in regulatory findings on audits of PIEs;
 - (g) Lack of support tools and guidance, both within the ISAs and supporting non-authoritative guidance, to assist practitioners to apply the ISAs, especially in the LCE context; and
 - (h) Limited resources of auditors of LCEs who, due to the size of their firms/practices often find it difficult or onerous to apply and comply with all the ISAs in audits of non-public interest entities.
41. Respondents also cited challenges beyond the ISA, including the ability of management to apply increasingly complex accounting standards and prepare reliable financial information.
42. **Supplement A** to this Agenda Item provides further details and aspects of specific ISAs that respondents noted were difficult to apply in audits of LCEs.

Monitoring Group Response

43. The one MG respondent concurred that they often hear concerns on the increasing complexity of the ISAs, and have the view that the use of complex language in the extant ISAs may be a contributing factor to such a perception. In order to address these challenges, the MG respondent called for further clarity on the differences, interrelationships and connections between the concepts of scalability versus proportionality in the frame of this project, as well as further building on the drafting principles developed as part of IAASB's clarity project, with additional focus on understandability of the standards.

IFAC Survey Responses

44. Respondents to the IFAC Survey indicated the following in listing their top three most significant issues that makes the ISAs challenging to apply to audits of LCEs (listed in the chart below per significance):



45. The two issues that stand out from the responses to this survey question are challenge in understanding how certain procedures add to quality of an audit and what is perceived to be onerous documentation requirements in ISA, both echoing some of the key themes from the written responses to the Discussion Paper explained in paragraphs 40 and 46.

Aspects of ISAs that are Difficult to Apply in an Audit of an LCE

Written Responses

46. Overall, respondents provided the largest volume of responses in respect of ISA 315 (Revised), ISA 240, ISA 540 (Revised) and ISA 230, indicating that these standards are identified as the most challenging to apply in an audit of an LCE. In respect of these standards, respondents designated the following aspects as challenging:
- (a) Respondents highlighted ISA 315 (Revised) as particularly challenging for audits of LCEs, and as this standard addresses the auditor's risk identification and assessment which forms the foundation for the entire audit, respondents thought that it may adversely affect the further audit procedures performed. The following broad themes were identified:
 - (i) Respondents agreed that in LCE audits there is a need to understand certain controls as part of obtaining an understanding of the entity and identifying risks of material misstatement, but also expressed views that what is currently required in the ISAs is disproportionate to the

simplicity of many LCEs, manifested by a less sophisticated system of internal control relative to complex entities (and often with having insufficient segregation of duties);

- (ii) Respondents questioned the added value to audit quality when the auditor, as a consequence of a very simple system of internal control, or because of a weak and/or unstructured system of internal control encountered in the LCE context, undertakes primarily a fully substantive approach, and is still required to understand, evaluate, and document the design and implementation of the system of internal control;
 - (iii) Respondents indicated that circumstances in LCEs often include limited or non-existent formalized policies and procedures (thereby creating a perception of weak controls), an amplified risk of management override, higher frequency in the occurrence of errors within the financial reporting environment and an overall weak audit trail. Under these circumstances, respondents questioned the opportunity for the provision of perceived value-add benefits to the client, given the length of the requirements in the standard which require the auditor to undertake extensive documentation that may create inefficiencies; and
 - (iv) Respondents expressed views that given the length of the standards, and the use of complex language, it is very difficult to navigate and understand what is required. Respondents also referred to the lack of clarity of how requirements may apply in audits of LCEs on a consistent basis, and expressed the need for further guidance, especially in respect of the scalability of the standard, sufficiency of audit evidence obtained, the use of analytical procedures as a risk assessment procedure in an audit of an LCE, and in respect of segregation of duties.
- (b) Compared to ISA 315 (Revised), respondents noted that ISA 240 is less challenging, but still expressed concern in respect of the following:
- (i) The use of complex language in the standard which can make it difficult to apply the requirements to the more simplistic controls present in the LCE context;
 - (ii) Respondents noted that some aspects of the standard need to be further clarified and that there is a need for additional specific guidance and examples for LCEs, especially in respect of audit procedures responsive to risks related to management override of controls; and
 - (iii) Considering that the owner and management usually are the same person authorization of operations is carried out often without having formal traces, which imposes additional challenges to auditors to respond to the assessed risk of material misstatement due to fraud.
- (c) Respondents had the view that the revised ISA 540 (Revised) is still complex when it comes to audits of LCEs, despite the efforts to develop support tools, including diagrams and flowcharts, and attempts to address scalability within the revised standard. More specifically:
- (i) Respondents expressed views that the documentation requirements are onerous and disproportionate with the degree of complexity (or simplicity) of the financial statements of LCEs, and given that in general, LCEs don't have sophisticated processes and controls on accounting estimates, some of the requirements are unnecessary and outweigh the perceived benefits to audit quality for LCE audits;
 - (ii) Respondents had the view that further clarity and guidance would be helpful regarding the scaling of the standard to simple estimates, and would welcome a broader range of examples of simple estimates in the application material of the standard; and

- (iii) Comments were made that the revised standard includes requirements to perform audit procedures that are not necessarily needed for simple estimates, as some LCEs do not have a formal process for making estimates and the elements of estimation uncertainty are less important given the straightforward nature of the estimates. Respondents thought that in such situations, the requirement to understand management's process becomes difficult to apply.
- (d) Respondents highlighted that the requirements of ISA 230 are disproportionate for LCEs, and do not add value or enhance audit quality. It was noted that it can be burdensome to go through a process of elimination to determine which requirements do not apply, as well as to document why they may not be applicable. Respondents also noted that documentation requirements were becoming increasingly onerous, especially within the specific ISAs covering the planning and completion stages of the audit. Respondents expressed views that further clarity and guidance through examples would be helpful to show the variability in levels of documentation based on the level of complexity within the entity.

Monitoring Group Response

47. The one MG respondent acknowledged that auditors of LCEs often cite challenges they face in the application of ISAs, and encouraged the IAASB to use the results of this consultation process to undertake further research and information gathering with a broad range of stakeholders to further understand the reasons behind these challenges, and identify appropriate solutions.

IFAC Survey Responses

48. Respondents to the IFAC LCE Survey noted that the following areas of ISAs are the most difficult to apply in audits of LCEs:
- (a) With respect to ISA 315 (Revised), respondents noted the following areas as most challenging: IT environment risk evaluation, evaluation of the system of internal control, segregation of duties, tests of controls, what constitutes sufficient audit evidence, the extent of planning to execute this ISA, knowledge of the business and control environment, fraud considerations and management override of controls.
 - (b) Respondents expressed views that there are a lot of straight forward estimates and it is often not necessary to have all the complex procedures required by ISA 540 (Revised), and that the standard is not seen to be scalable.
 - (c) With respect to documentation, respondents noted the aggregate requirements (i.e., the requirements within ISA 230 as well as the documentation requirements within individual standards) to be burdensome and not adaptable to an LCE audit (for example in respect of the required understanding of the system of internal control). It was also noted that documentation of why certain required procedures are not performed can take up significant audit time, and is done purely to satisfy regulatory demands for documentation. Further, views were expressed that the planning documentation is voluminous and overly complicated.
 - (d) Other aspects of the ISAs that respondents noted as difficult to apply include:
 - Materiality—certain requirements are too detailed with no room for the application of professional judgment (i.e., ISA 320),⁷

⁷ ISA 320, *Materiality in Planning and Performing and Audit*

- The identification of, and responding to, risks of material misstatement due to fraud (i.e., ISA 240); and
- Procedures related to journal entries (i.e., ISA 315 (Revised)).

Addressing the Challenges with Applying the ISAs

Written Responses

49. At the firm level, respondents applied methodology, technology, training, guidance and tailored examples to address the challenges with application of the ISAs to audits of LCEs. One respondent expressed views that in order to address the challenges with application of the ISAs to all audits, long-term structural changes are required, including the development of a new drafting framework for extant ISAs to address the challenges with language and complexity of the ISAs. Respondents also shared insight into jurisdictional approaches taken to develop specific standards and approaches to audits of LCEs as a possible solution, including that these are often undertaken to address specific country circumstances.

Monitoring Group Response

50. The one MG respondent noted that the use of technology and automated tools in the audit could, to a certain extent, facilitate the effective implementation of the ISAs provided adequate consideration is given to the potential risks associated with the use of such technologies.

LCE Working Group Views

51. In considering the challenges related to applying the ISAs in audits of LCEs, the LCE Working Group had the following observations:
- (a) The LCE Working Group acknowledged the extensive and rich comments provided by respondents in respect of the aspects of ISAs that are challenging to apply, indicative of a high level of engagement and application of the ISAs across various global jurisdictions and different stakeholder constituencies;
 - (b) The underlining causes of the challenges with the ISAs cited by respondents are often not unique to the audits of LCEs, but have a significance for all audits. Therefore a need for broader action may be required to address these underlining issues;
 - (c) The IAASB has made significant efforts with recently revised standards, including ISA 315 (Revised 2019) and ISA 540 (Revised), to address concerns raised by respondents on exposure relating to understandability, complexity and length. It is therefore important to articulate the presentation styles introduced with these recently revised ISAs, as well as understanding whether stakeholders have the view that these are helpful or not. However, it needs to be determined whether, and the extent to which, changes to the presentation styles should (or could) be used for other standards (aligning such an approach across the ISAs more broadly, including in ongoing projects);
 - (d) There is a need to, without delay, enhance the accessibility of the ISAs by converting the IAASB Handbook to an electronic format to make it easier to use through better navigation and improved signposting. Consideration could also be given to how the electronic handbook can be enhanced for more sophisticated features to assist with the application of the standards; and

- (e) The concepts of scalability and proportionality, as well as their relationship, need to be further understood and articulated, as presently there is ambiguity about how these concepts apply in practice.

Possible Actions and Priorities to be Explored

Summary of Respondents' Comments Relating to Possible Actions and Priorities to be Explored (see Nvivo Reports 6-B.5, 6-B.6, 6-B.7, 6-B.8 and 6-B.9, and Excel Summaries 6-C.5, 6-C.6, 6-C.7, 6-C.8 and 6-C.9)

- Mixed Views on all options
- Option A – Revising the ISAs:
 - Preference for 'building-blocks' approach
 - Mixed views about targeted approach versus a 'big bang'
 - Would be most effective solution in addressing issues and challenges, but recognition that not timely
 - Need simpler language and principles-based requirements
 - Need more scalability and proportionality
- Option B – Developing a Separate Auditing Standard for Audits of LCEs:
 - More timely - would be quicker than revising all of the ISAs
 - Needs to be a reasonable level of assurance
 - Little support for development of a separate standard using a different framework – based on the ISAs
- Option C - Developing Guidance for Auditors of LCEs:
 - Not seen as a standalone solution
- IAASB is encouraged to explore a combination of approaches

Possible Actions and Priorities

Written Responses

52. With respect to the options to address the issues with application of ISAs in audits of LCEs, respondents expressed mixed views on the possible actions and priorities that should be pursued.

(a) Option A - Revising the ISAs

- (i) Respondents who supported this option expressed a preference for a “building-blocks” approach, whereby revisions would start by laying out the basic (fundamental/core) requirements and build up further requirements to address more complex audit areas and circumstances;
- (ii) Respondents expressed mixed views on the way the ISAs should be revised. It was recognized that an approach of revising all the ISAs in one substantial project, similar to the Clarity project, would take a long time to complete. On the other hand, although targeted prospective revisions and/or retrospective changes on a rolling/phased basis by selecting

the standards that would bring the most benefits for audits of LCEs may be a timelier solution, it may come at the expense of involving years of incremental change;

- (iii) Respondents who supported revisions to the ISAs to be pursued as a priority had the view that this would be an effective long-term solution that would address the complexity, readability, understandability, scalability and proportionality issues present with the extant ISAs, while avoiding the risks associated with developing a separate auditing standard for audits of LCEs (further explained below); and
 - (iv) Comments were made that it would be necessary to develop a new drafting framework for structural changes to the ISAs, including for example, using simpler language, providing greater clarity about the documentation requirements, separating requirements which encapsulate objectives, and avoiding duplication and repetition of requirements.
- (b) Option B - Developing a Separate Auditing Standard for Audits of LCEs
- (i) Respondents who supported this option commented that the level of assurance provided should be the same as for the ISAs (i.e. reasonable assurance), and that the separate standard(s) should retain the same robustness of the ISAs. Concerns were expressed that developing a separate standard(s) based on a different framework may be very challenging to accommodate a reasonable assurance opinion, could widen the expectation gap and may cause confusion among users;
 - (ii) Views were expressed that the DP does not provide sufficient details as to how the new standard(s) would be drafted. Proposals were made that the approach taken should start from the ground up, by laying out the fundamental principles of what is required opposed to an approach that is a mere simplification of the present ISAs through removing the requirements which would not apply for LCE audits; and
 - (iii) Respondents who thought that developing a separate auditing standard for audits of LCEs should be actioned as a priority had the view that this solution would be most practical and timely to address the present challenges with application of ISAs in audits of LCEs.
- (c) Option C - Developing Guidance for Auditors of LCEs
- (i) Respondents had the view that guidance, is useful and is complementary with the other options presented in the DP, but is not a sufficient solution on its own to address the issues with audits of LCEs and should rather be used to supplement both other options provided in the DP;
 - (ii) On the forms of guidance, respondents thought that targeted and practical examples would be most helpful, written in concise language which would be easy to translate and understand. Suggestions were made that available guidance also be compiled into a single place that would be easy to locate and access; and
 - (iii) Respondents who supported developing guidance for auditors of LCEs to be pursued as priority, highlighted that this is an option that is complementary to the other proposals and is the most realistic option to complete in the short-term.
- (d) Combination of Approaches
- (i) Respondents also had the view that developing a range of different and complementary solutions, through a combination of approaches, should be actioned. This included

undertaking a short- to medium-term action to resolve the present challenges with audits of LCEs, supplemented with a longer-term plan of structural revisions to the ISAs to address scalability (and possibly other concerns related to proportionality, complexity, readability and understandability);

- (ii) Views were expressed that developing targeted guidance in the short term, supplemented with a longer-term action of revising the ISAs should be actioned, considering that such an approach could immediately address the most significant areas of challenges identified by respondents in respect of audits of LCEs, while allowing sufficient time for longer-term structural revisions to the ISAs to address scalability;
- (iii) Views were expressed that an appropriate approach would be to first develop a separate auditing standard for audits of LCEs, and then as a second step, and through a plan of convergence, start revising the ISAs. Views were expressed that a separate auditing standard for audits of LCEs could be used as a fundamental building block which covers the core requirements, and could therefore constitute a starting point for the revisions to ISAs; and
- (iv) Respondents commented that a possible approach which would be timely and practicable in the short term would be to develop both a separate auditing standard for audits of LCEs and guidance for auditors of LCEs.

53. Respondents noted the following wide-ranging themes in respect of the implications and consequences of the three suggested options in the DP identified to address the issues with application of ISAs in audits of LCEs:

Option	Implications and Consequences	
	Perceived Benefits	Perceived Issues
Option A: Revising the ISAs	• Ideal and effective long-term solution • Retaining one set of standards while addressing scalability issues for all audits, including LCEs • Would benefit all audits through enhancing clarity and focus as to “what” the auditor needs to do and “why”	• May not be a practical solution as it requires significant time and resources to implement • May come in too late to meet the immediate needs of LCE audits • May add further length and volume to the standards
Option B: Developing a Separate Auditing Standard for Audits of LCEs	• Possibility to develop a shorter and clearer standard addressing issues directly for audits of LCEs • Focus the LCE auditor on relevant aspects of the audit and emphasize the need for professional judgement	• May cause dual perceptions on the value of audit whereby audits of LCEs are considered of a lesser quality relative to an ISA audit, which may lead to a two-tier auditing profession • May cause confusion with users on the level of assurance expressed under the LCE

Option	Implications and Consequences	
	Perceived Benefits	Perceived Issues
	(addressing concerns about proportionality) • More practicable solution in the short- to medium-term	standard(s), especially if based on a different framework than ISA • May cause practical implementation issues when classifying and transitioning entities to/from the LCE standard(s) and ISAs, issues with dual methodologies and training of auditors
Option C: Developing Guidance for Auditors of LCEs	• Complementary with other options (enhancing the impact of the “total package”) • Less time and resources to develop • Timely solution achievable in short term	• Already available and not a solution on its own • May exaggerate the length and complexity as there would be more material for auditors to read and understand • Guidance is non-authoritative and consistency of application cannot be ensured

Other Possible Actions

54. On the other possible actions to be considered by IAASB, respondents highlighted the following:
- Considering other forms of assurance that could be provided by auditors of LCEs as an alternative to an audit opinion in accordance with the ISAs,⁸ including reviews, limited reviews, direct engagements, forms of “modular assurance” or a completely new form of assurance;
 - Leveraging technology to enhance the accessibility of the ISAs; and
 - Undertaking further evidence-based research regarding the challenges in applying the ISAs.

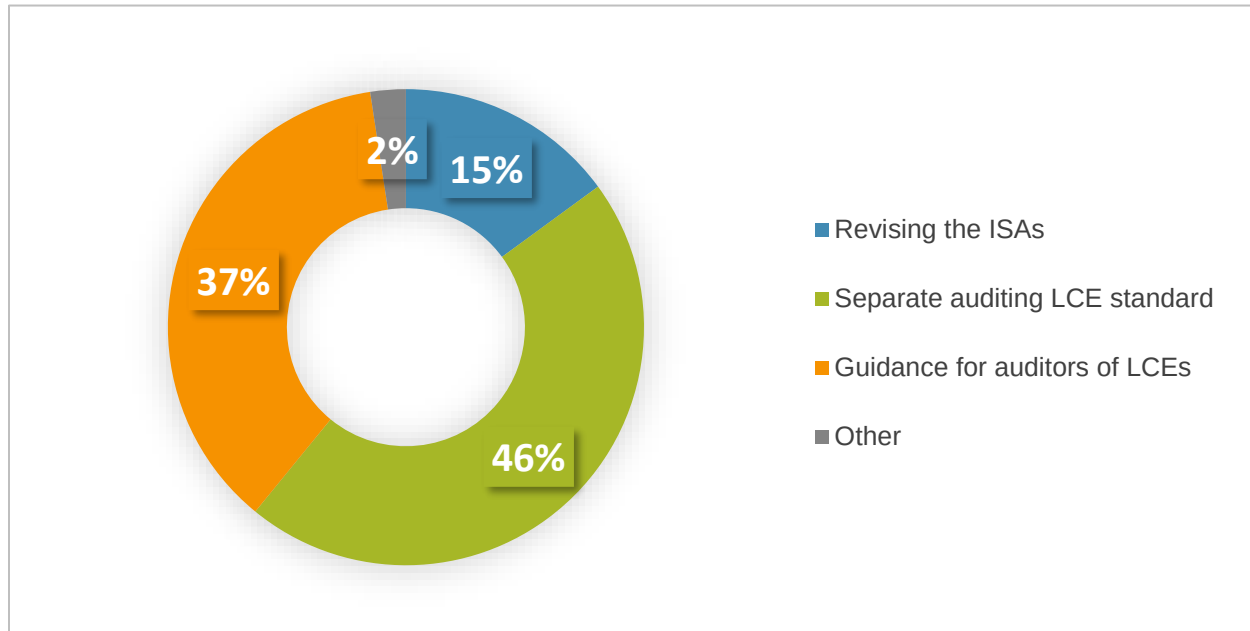
Monitoring Group Response

55. The MG respondent expressed concern about the risk of an increase in the expectation gap that may arise from developing a separate audit standard(s) for audits of LCEs. The MG respondent commented that having two different auditing regimes (regular versus audits of LCEs), could lead to confusion about audit quality, especially for external stakeholders, including, potentially a perception that audits of LCEs are of lesser quality and this risk should be carefully addressed by IAASB.
56. The MG respondent believed that it would be preferable that the issues and challenges of developing standard(s) for audits of LCEs be addressed at international level rather than only locally as an approach involving a variety of different local solutions would drive inconsistency and result in confusion of users.
57. The MG respondent encouraged the IAASB to continue its efforts and use the results of this consultation process to conduct further research and information gathering with a wide range of stakeholders to

⁸ The focus of this initiative is audits of less complex entities, with other assurance having been scoped out as described in the DP.

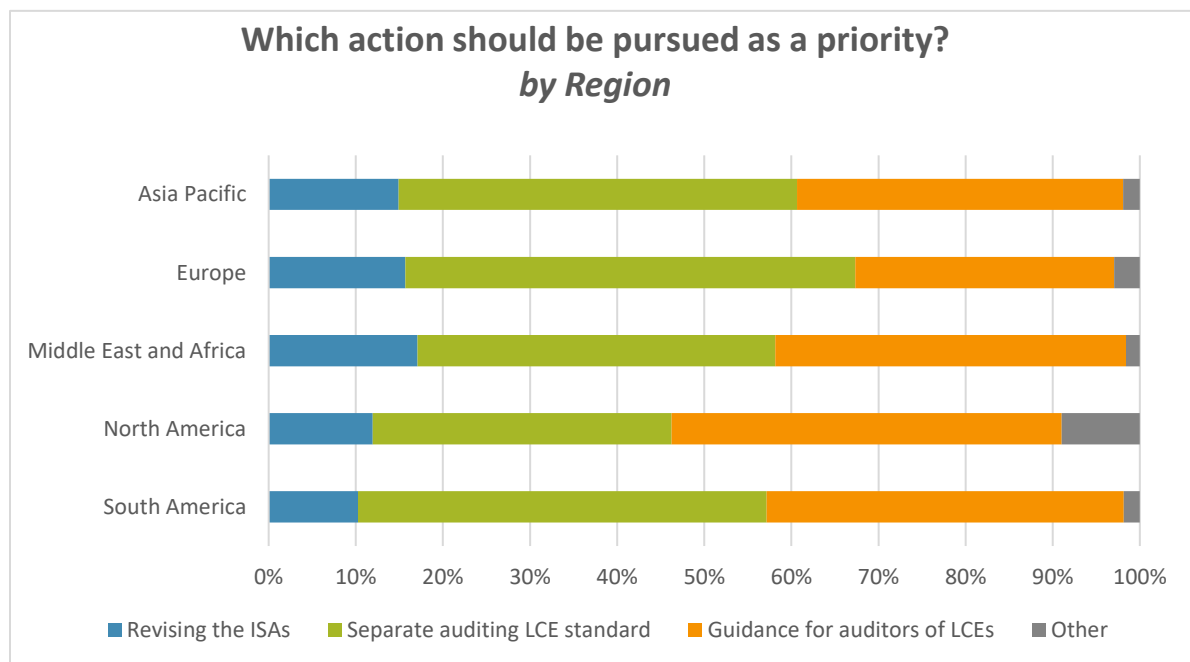
analyze the underlining causes of the challenges faced with the application of ISAs, in order to identify appropriate solutions.

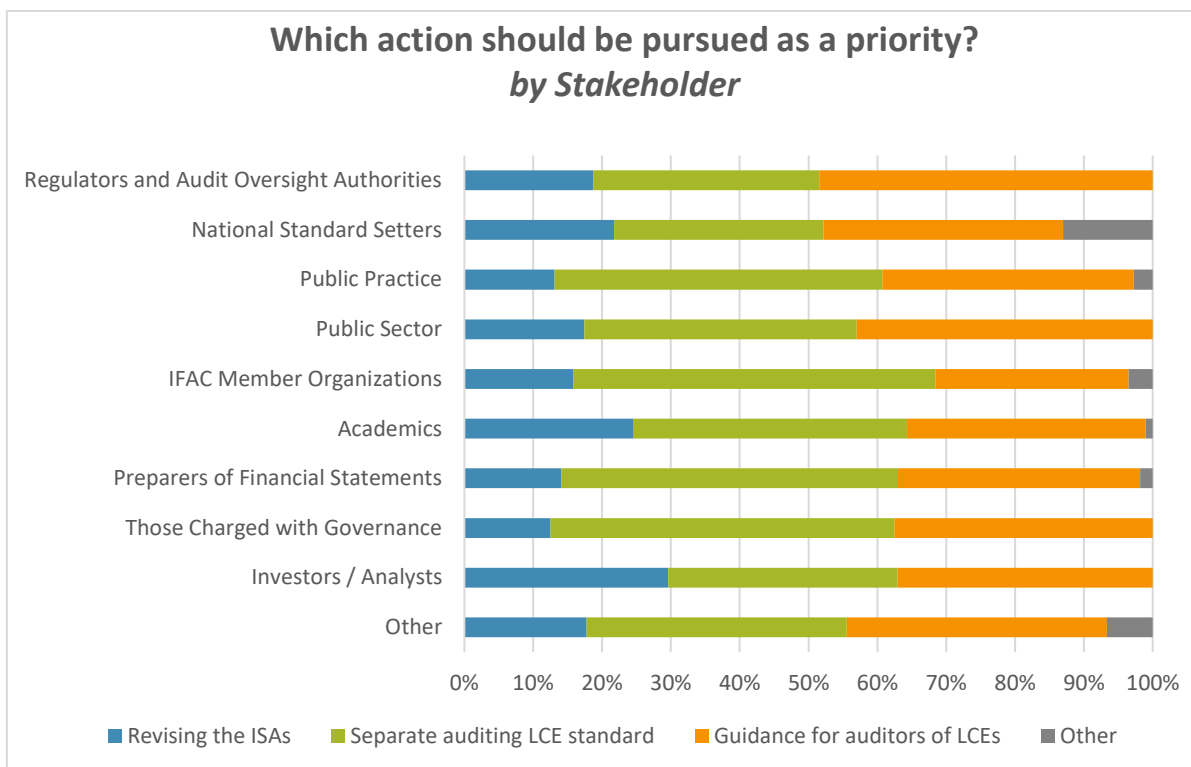
IFAC Survey Responses



58. Overall 46% respondents supported developing a separate auditing LCE standard as an action that should be pursued as a priority, and 37% respondents supported developing guidance for auditors of LCEs. The option for revising the ISAs was supported by 15% of the respondents.

59. The charts below provide analyses of the respondent preferences on the actions that should be pursued as a priority, including a further breakdown by stakeholder group and by region:





60. In respect of the priorities, the following overarching themes were noted:

- (a) Respondents who supported revising the ISAs to be pursued as a priority, the majority (45%) selected setting out the basic requirements for all audits then expanding as needed to address more complex circumstances (“building-blocks” approach), with the second preferred option (35%) being to provide greater focus on more clearly setting out what the auditor needs to do;
- (b) Respondents who thought that developing a separate auditing standard for audits of LCEs should be actioned as a priority a majority (60%), indicated that a separate standard should be based on the existing ISAs. 38% indicated it should be based on a different framework. This was consistent for all regions and stakeholder groups, except for regulators who favored developing a standard based on a different framework (57%); and
- (c) Respondents who supported developing guidance for auditors of LCEs to be pursued as priority in majority (44%), supported an enhanced comprehensive guide on applying the ISAs for audits of LCEs, 20% supported an International Auditing Practice Note (IAPN) for audits of LCEs, 18% preferred guidance for the application of specific areas within the ISAs or specific ISAs and the remaining supported focused “implementation packs” for new and revised ISAs specifically for audits of LCEs and other approaches.

LCE Working Group Views

- 61. The LCE Working group recognized the mixed written responses to the questions relating to the possible actions, noting that there was not an overwhelming agreed, clear, way forward conveyed by the responses and feedback received. Because of the mixed nature of the feedback, the LCE Working Group broadly

agrees that a range of solutions should be considered going forward to appropriately address the challenges raised by respondents to the DP.

62. The LCE Working Group has recognized respondents' call for timely action, and therefore considers that it may be appropriate to focus on a shorter-term project which will deliver results, while still continuing to consider what can be done in relation to the broader suite of ISAs which would likely be a longer term initiative. If these were both to be undertaken, it would be envisioned that they would run simultaneously.
63. The LCE Working Group agreed that any broader ISA focused actions should concentrate on issues raised by respondents with regard to complexity, readability, understandability, scalability and proportionality of the ISAs. Any efforts related to a broader consideration of the ISAs would still need to be further explored (for example, clearly articulating what a "building-blocks" approach entails and understanding the feasibility of using this approach), so that appropriate future actions can be determined (such a project could include a range of actions, some of which could be short-term (focused changes) and others long term (i.e., a more substantial rewrite of the ISAs).
64. In the context of broader considerations of the ISAs more generally, the LCE Working Group also consider that a shorter-term action could include work to specifically address more urgent issues related to the challenges when auditing LCEs, such as the development of a separate standard. The structure and content of such a standard would still need to be developed and, the IAASB could learn from others who have developed their own auditing standards for smaller entities. In addition, there were many suggestions about what the standard could comprise of from respondents, and the LCE Working Group agreed that further analysis and consideration of these different approaches would be helpful.

Other Considerations and Areas of IAASB Focus

Summary of Respondents' Comments Relating to Other Considerations and Areas of IAASB Focus (see Nvivo Reports 6-B.10 and 6-B.11, and Excel Summaries 6-C.10 and 6-C.11)

Written Responses

Challenges Not Within Control and Scope of IAASB Work on Audits of LCEs

65. In respect of areas driving the challenges and impacting the audit environment of LCE audits which do not fall within direct remit of IAASB as a global standard setter, or within the scope of the IAASB's work on audits of LCEs⁹, respondents highlighted the following:
 - Technology / Methodology:
 - (i) Respondents emphasized the potential of technology and the use of Data Analytics to improve audit efficiency and effectiveness and contribute to improved audit quality for all audits;
 - (ii) Respondents called for the IAASB to provide further clarity, guidance and examples to improve the level of understanding of General IT Controls that is necessary when using simple data analytics;
 - (iii) It was emphasized in the responses that IAASB should revise the definition of audit evidence to clarify that data analytics is considered a substantive analytical procedure and therefore is a form of substantive evidence; and

⁹ Matters raised by respondents not relating to the IAASB's work on audits of LCEs will either be transferred to a current project or to the relevant aspect of the IAASB's Framework for Activities.

- (iv) Respondents highlighted the role of IAASB in working with technology/methodology providers, other standard setters and regulators to ensure that there is clarity over the audit evidence provided by such technologies and techniques.
 - Education and People
 - (i) Respondents agreed that a lack of understanding of existing, new and revised ISAs may negatively impact the way the standards are applied, and encouraged the IAASB to focus on engaging with educational bodies at national level, including providing support to them through additional guidance and examples with a focus on practical application of the ISAs for audits of LCEs.
 - Commercial Considerations Related to an Audit
 - (i) Respondents strongly encouraged the IAASB, as part of any future project, to consider both the benefits and costs associated with an audit of an LCE, with an ultimate objective to improve such cost-benefit relationship. Views were expressed that while it is important to produce robust standards, the costs of implementing them should not exceed the benefits, and it was highlighted that the present issues with effective scalability of the ISAs complicates this matter causing a much greater burden on auditors of LCEs; and
 - (ii) Respondents agreed that the IAASB cannot directly alleviate present fee pressures, and therefore indirect actions should be undertaken to support the value of audit beyond perceptions of a mere compliance exercise.
 - Legal and Other Requirements for Audit
 - (i) Views were expressed by respondents that greater liaison with regulators, oversight bodies and NSS is useful in order to influence the debate in the area of legal and other requirements for audit.
66. On the challenges impacting the audit environment of LCEs which are scoped out of the current exploratory activities of the IAASB, respondents highlighted the following:
- Value of an Audit
 - (i) Comments had been made by respondents that the perceived value of an audit is an important issue for all audits, but particularly in the audits of LCEs as they are often considered purely a compliance exercise with no value added;
 - (ii) Respondents had the view that the IAASB should work with IFAC and others to advocate and educate stakeholders on the value of audit in society, including its contribution to public trust, capital markets, and good business practices; and
 - (iii) As the value of audit is an issue of public interest, respondents emphasized that it should not be scoped out of this consultation or other IAASB's long-term strategic planning.
 - Public Expectations
 - (i) Respondents highlighted that outside of the remit of this project, and alongside the advocacy activities in respect of promoting the value of audit, the IAASB should focus on working with others to clarify the public expectations of an audit to help reduce the expectation gap; and

- (ii) Respondents encouraged the IAASB to engage with regulators, oversight bodies and NSS to help address an apparent decline in trust in the audit process, as well as address present issues with the ISAs so that LCE auditors apply more professional judgement in audits.
- Engagements Other than Audit
 - (i) It was emphasized by respondents that increasing awareness and educating users of other forms of assurance, (including reviews and attestations), as well as agreed-upon procedures, can be useful when an engagement other than audit is considered more appropriate.
- Enhanced Accessibility of the ISAs
 - (i) Respondents expressed views that improvements to be able to digitally access the ISAs could alleviate some of the length and volume challenges with the ISAs, and should be pursued as a priority, but to achieve further benefits this project should provide for sophisticated navigation capabilities of Handbook.

Other Matters for IAASB Consideration

67. Among the other matters for IAASB consideration, respondents highlighted the following:

- The need for a globally coordinated solution that would allow for a consistent approach to audits of LCEs;
- Recognition for the importance of the initiative and expressed support for urgent action;
- Emphasized the need for collaboration with all stakeholders in the process of developing a solution;
- The need to understand the feedback and learn from the various jurisdictions that have already adopted the approach of developing a separate LCE auditing standard; and
- Ensure adequate representation of small- and medium-sized practitioners (SMP), including IFAC SMP Committee representatives, in the relevant IAASB working groups.

Monitoring Group Response

68. The one MG respondent emphasized that as outlined in the DP, providing technology and automated tools in the audit of LCEs could in practice facilitate the implementation of the ISAs by auditors of LCEs.

LCE Working Group Views

69. In its deliberations about the respondent's input as to other considerations and areas of IAASB focus, the LCE Working Group agreed that there are certain actions, which although relevant, cannot be addressed through the scope of a project on audits of LCEs (for example, using other types of engagements instead of an audit or developing implementation guidance that would not be part of the IAASB's remit). The LCE Working Group therefore agreed that such actions should be identified and passed on to other IAASB workstreams, and/or be addressed through convening and encouraging others to act as appropriate.

VI. Proposed Direction for Future Work by the IAASB to Respond to the Input Relating to Audits of LCEs

70. Based on the feedback as set out in this Agenda Item, as well as the discussions and views of the IAASB from the December 2019 IAASB meeting, the LCE Working Group will develop recommendations for IAASB action that will be presented for discussion at the March 2020 IAASB meeting.
71. In addition to the written responses to the DP, the LCE Working Group considered the value of the information from the IFAC Survey, noting that the responses included respondents that were not likely to respond to a written consultation. In addition, the LCE Working Group appreciated that many of these were practicing auditors who experienced the challenges highlighted on an ongoing basis.
72. Overall, the LCE Working Group noted that there is nothing significantly new in the challenges and issues raised, but noted that there is consensus that there are significant issues overall, and that these issues are wide ranging. The LCE Working Group recognizes the call for urgent global action, but is also mindful that there are many aspects that need further consideration. In particular, respondents had highlighted that many of the issues and challenges were not unique to audits of LCE's, and therefore any work in this area would likely be more wide ranging than just for audits of LCEs.
73. The LCE Working Group also agreed that there were certain aspects where, on balance, there was wide-ranging agreement by respondents:
- If a separate standard were to be developed, it should be based on the ISAs (i.e., deliver a reasonable assurance opinion), and not based on a different framework;
 - The development of broad implement guidance (such as an International Auditing Practice Note (IAPN)) is not the optimal solution – respondents are looking for a standard-setting solution (i.e., either revising the ISAs or developing a separate standard). However, respondents supported guidance to accompany either of the aforementioned solutions; and
 - In revising the ISAs, respondents were calling for broad changes, but it was not clear how a broad project to revise the ISAs should be undertaken (for example as a substantial project to address all ISAs (such as a new “Clarity Project”) or individual ISAs on a rolling basis). In addition, there were several suggestions about how the ISAs could be revised, but many highlighted a “building-blocks” approach (further work would be needed to understand the feasibility of such approach).
 - That timely action is needed.
74. From the responses, the LCE Working Group believes it is clear that changes to the standards are needed. However, what those specific changes need to be are not clear. It was recognized that there was a strong message that the solution is not just one action, but a combination of actions. Accordingly, based on its deliberations on the feedback received, the Working Group has the view that a combination of approaches is needed. It is proposed that such a combination of approaches include two distinct workstreams:
- An LCE focused workstream (such as the development of a separate standard), and
 - A broader ISA focused workstream.
- It is envisioned that the work on each would run at the same time, and, as progress is made on both workstreams, it is expected that information from one would inform the other.
75. The LCE Working Group believes that this two-stream approach will address the feedback gained from consultation most effectively. Many stakeholders are looking for quick action (and a quick solution),

something a more substantial revision of the ISAs cannot necessarily deliver (although there may be aspects that could be delivered more quickly). Accordingly, the LCE Working Group recommends consideration of the development of a separate standard specifically to address many of the challenges of auditing LCEs. In undertaking such work, there is also the potential to learn about the approaches to revising the ISAs from the rigor involved in exploring the development of a separate standard, that was able to deliver the same level of assurance as the suite of ISAs. Thus the recognition of synergistic benefits in, at the same time, exploring the two workstreams. In addition, the indication that the IAASB will commence work in this area may also curb some of the new initiatives to develop a separate standard at jurisdictional or regional levels (it is not in the public interest for many standards all purporting to achieve the same thing being developed).

76. The table below summarizes the LCE Working Group initial views and proposals on the direction for the way forward. There is still work to be done to further inform each of these actions (also detailed within the table), some of which will be undertaken in the first quarter of 2020. Subject to Board views on these matters, the LCE Working Group will use this indicative direction, as well as the information from the planned further activities, to develop its more specific recommendations for the way forward that will be presented for Board discussion in March 2020.

Workstream	LCE Working Group Views on the Way Forward		
	Timeframe from Now	Proposed Direction	Staff and LCE Working Group Activities to Further Inform Proposed Direction
LCE Focused Workstream	Medium-term actions (3-4 years)	Explore and develop a separate standard for audits of LCEs: - Determine the most appropriate basis (both content and approach) for developing a separate standard (taking into account the considerable feedback from the DP about how this can be done, and learning from the experience of others); - Develop a standard accordingly; and - Explore the development of guidance, through collaboration or coordination with others (such as IFAC and NSS) to support the newly developed standard (for example, such a standard	- Further considering the scalability and proportionality of requirements and application material in the current standards, including actions on recently revised projects (such as ISA 540 (Revised) and ISA 315 (Revised 2019) to address understandability and complexity (this activity will also further inform the ISA Focused Workstream);¹⁰ - Analyzing the specific aspects of ISAs, as relevant to this workstream, that respondents to the DP found difficult to apply in LCE audits; - Exploring how different methodologies address audits of LCEs, and

¹⁰ It is expected that the work done to develop a new separate standard will further inform the work of the 'ISA Focused Workstream.'

Workstream	LCE Working Group Views on the Way Forward		
	Timeframe from Now	Proposed Direction	Staff and LCE Working Group Activities to Further Inform Proposed Direction
		may consist only of high-level principle-based requirements).	Learning from other jurisdictions and regions who have developed separate standards and requirements for auditing smaller entities (or are in the process of doing so).
ISA Focused Workstream	- Shorter-term actions (1–3 years)	- Exploring different approaches to revising the ISAs, including consideration of whether more immediate changes could be made that are not part of the longer term considerations (such as work undertaken to further consider the new presentation approach in ISA 315 (Revised 2019), and whether this could be more broadly applied); and - Consideration of respondent comments about specific ISAs (or areas within those ISAs) that are challenging, with further consideration about how these topics can be addressed within the terms of the IAASB's Framework of Activities (currently being developed).	- Articulating the new presentation style and changes made to address concerns of complexity, readability, understandability, scalability and proportionality, introduced in the recent ISA revision projects (such as ISA 315 (Revised 2019). This may include consideration of understanding stakeholder views about these changes; - Analyzing the issues noted by respondents with regard to complexity, readability, understandability, scalability and proportionality of the ISAs, and identification of “pass-on” items to other IAASB ongoing projects which could be actioned on a quicker basis; and - Use of technology solutions to make ISAs accessible.
	- Longer-term actions (5+ years)	A broader revision of the ISAs. The approach and nature of such a revision would still need to be explored (i.e., further information gathering and discussions with the Board would be necessary to be able to more	Further information gathering activities and research to explore possible ways to revise the ISAs, including consideration of the feasibility of using a “building-blocks” approach.

Workstream	LCE Working Group Views on the Way Forward		
	Timeframe from Now	Proposed Direction	Staff and LCE Working Group Activities to Further Inform Proposed Direction
		specifically articulate actions in this regard). This would also include exploring the need for development of specific guidance that may be required, including whether this is developed by the IAASB or in collaboration or coordination with others (such as IFAC or the NSS).	

77. In developing its recommendations, the LCE Working Group will also further consider if there are any recommended actions for others that the Board should be acting on, including consideration of matters raised by respondents which are not within the scope of work related to audits of LCEs, or not within the remit of the IAASB.

Matters for IAASB Consideration

1. The IAASB is asked for its views about the direction for the possible way forward as described in paragraph 76 (including the table) above.

VII. Draft Feedback Statement

78. As part of the proposal for work in this area, the IAASB agreed that it was important to keep stakeholders informed of its progress in relation to audits of LCEs. Accordingly, it was agreed that a Feedback Statement be published detailing what the IAASB had heard from the consultation.
79. **Agenda Item 6-A** sets out the Draft Feedback Statement for the Board's consideration, and is based on the matters set out in this Agenda Item. The LCE Working Group strongly believes that this should be kept short and succinct, while giving justice to the highly informative and helpful information received. In addition, feedback from both the IFAC Survey and the Paris LCE conference has also been included as these activities both provided direct feedback in response to the DP, and further provides evidence that has informed the deliberations of the Working Group in identifying the direction that is being proposed.
80. This non-authoritative document is not subject to the IAASB's due process (i.e., not subject to the formal approval process of authoritative documents), but due to the public interest associated with this topic, the LCE Working Group believed that it is important to obtain the Board's views about the document, and obtain the agreement of the Board to publish this document.

Matters for IAASB Consideration

2. The IAASB is asked whether it agrees with the draft Feedback Statement for publication.

Appendix 1

List of Respondents to DP- Audits of Less Complex Entities

No.	Respondent	Region
Monitoring Group		Total: 1
1.	International Forum of Independent Audit Regulators (IFIAR)	Global
Regulators and Audit Oversight Authorities		Total: 5
2.	Canadian Public Accountability Board (CPAB)	North America
3.	Committee of European Auditing Oversight Bodies (CEAOB)	Europe
4.	Czech Republic Public Audit Oversight Board (PAOB)	Europe
5.	Independent Regulatory Board for Auditors (IRBA)	Middle East and Africa
6.	Irish Auditing and Accounting Supervisory Authority (IAASA)	Europe
National Auditing Standard Setters		Total: 14
7.	American Institute of Certified Public Accountants (AICPA)	North America
8.	Auditing and Assurance Standards Board of the Institute of Chartered Accountants of India	Asia Pacific
9.	Australian Auditing and Assurance Standards Board	Asia Pacific
10.	Austrian Chamber of Tax Advisors and Public Accountants (KSW)	Europe
11.	Brazilian Federal Accounting Council (CFC)	South America
12.	Canadian Auditing and Assurance Standards Board	North America
13.	Compagnie Nationale des Commissaires aux Comptes (CNCC) and Conseil Supérieur de l'Ordre des Experts-Comptables (CSOEC)	Europe
14.	Hong Kong Institute of Certified Public Accountants	Asia Pacific
15.	Institut der Wirtschaftsprüfer in Deutschland e.V. (IDW)	Europe
16.	Korean Auditing and Assurance Standards Board (KAASB)	Asia Pacific
17.	Malaysian Institute of Accountants (MIA)	Asia Pacific
18.	New Zealand Auditing and Assurance Standards Board	Asia Pacific
19.	Royal Netherlands Institute of Chartered Accountants (NBA)	Europe
20.	The Japanese Institute of Certified Public Accountants	Asia Pacific
Accounting Firms¹¹		Total: 25
21.	Adrian & Partners AB	Europe
22.	Baker Tilly International*	Global
23.	BDO International*	Global

¹¹ Forum of Firms members are indicated with a *. The Forum of Firms is an association of international networks of accounting firms that perform [transnational audits](#).

Audit of Less Complex Entities—Issues
IAASB Main Agenda (December 2019)

No.	Respondent	Region
24.	Crowe Global*	Global
25.	Dailamipour & Co. Audit Firm	Middle East and Africa
26.	Deloitte Touche Tohmatsu Limited*	Global
27.	Duncan & Toplis Limited	Europe
28.	Ernst & Young Global Limited*	Global
29.	GGI - Practice Group of Auditing, Reporting and Compliance	Europe
30.	Grand Thornton International Limited*	Global
31.	HLB International*	Global
32.	HW Fisher	Europe
33.	KPMG IFRG Limited*	Global
34.	MGI Worldwide*	Global
35.	MNP LLP	North America
36.	Moore Global*	Global
37.	NEXIA International*	Global
38.	Pitcher Partners	Asia Pacific
39.	PKF International Limited*	Global
40.	PKF South Africa	Middle East and Africa
41.	PwC*	Global
42.	RSM International Limited*	Global
43.	Raymand & Co.	Middle East and Africa
44.	Shahedan & Co.	Middle East and Africa
45.	SRA	Europe
Public Sector Organizations		Total: 2
46.	U.S. Government Accountability Office (GAO)	North America
47.	Wales Audit Office	Europe
Member and Other Professional Organizations		Total: 34
48.	Accountancy Europe	Europe
49.	ASSIREVI	Europe
50.	Belgian Institute for Tax Advisors and Accountants (ITAA)	Europe
51.	Belgian Institute of Registered Auditors (IBR-IRE)	Europe
52.	California Society of CPA's	North America
53.	Cayman Islands Institute of Professional Accountants	South America
54.	Chartered Accountants Australia and New Zealand (CA ANZ) and the Association of Chartered Certified Accountants (ACCA)	Global

No.	Respondent	Region
55.	Consiglio Nazionale dei Dottori Commercialisti e degli Esperti Contabili	Europe
56.	CPA Australia	Asia Pacific
57.	CPA Ireland	Europe
58.	European Federation of Accountants and Auditors for SMEs (EFEAA)	Europe
59.	EXPERTsuisse	Europe
60.	Federación Argentina de Consejos Profesionales de Cs. Económicas (FACPCE)	South America
61.	International Federation of Accountants (IFAC)	Global
62.	IFAC Small and Medium Practices Committee	Global
63.	Institute of Certified Public Accountants of Uganda	Middle East and Africa
64.	Institute of Chartered Accountants in England and Wales (ICAEW)	Europe
65.	Institute of Chartered Accountants of Nigeria	Middle East and Africa
66.	Institute of Chartered Accountants of Pakistan	Asia Pacific
67.	Institute of Chartered Accountants of Scotland (ICAS)	Europe
68.	Institute of Chartered Accountants of Sri Lanka	Asia Pacific
69.	Institute of Independent Auditors of Brazil (IBRACON)	South America
70.	Institute of Public Accountants (IPA)	Asia Pacific
71.	Institute of Singapore Chartered Accountants	Asia Pacific
72.	Instituto de Censores Jurados de Cuentas de España	Europe
73.	Instituto Mexicano de Contadores Públicos A.C. - Audit and Assurance Standards Commission	South America
74.	Instituto Mexicano de Contadores Públicos, A.C.	South America
75.	Inter-American Accounting Association (IAA)	South America
76.	Malaysian Institute of Certified Public Accountants (MICPA)	Asia Pacific
77.	Nordic Federation of Public Accountants	Europe
78.	South African Institute of Chartered Accountants (SAICA)	Middle East and Africa
79.	South African Institute of Professional Accountants (SAIPA)	Middle East and Africa
80.	The Institute of Chartered Accountants of Ghana	Middle East and Africa
81.	Union of Chambers of Certified Public Accountants of Turkey (TURMOB)	Europe
Academics		Total: 1
82.	Hunter College	North America
Individuals and Others		Total: 11
83.	Adele Driscoll	Middle East and Africa
84.	Ali Sarehraz	Middle East and Africa
85.	Alla Ejova	Europe

No.	Respondent	Region
86.	Audit Assistant Limited	Asia Pacific
87.	Chartered Accountants Academy	Middle East and Africa
88.	Cristian Munarriz	South America
89.	Gabriel Yépez ¹²	South America
90.	Gary Young	Asia Pacific
91.	Michel Maher ¹³	North America
92.	SAMantila	South America
93.	Vera Massarygina	Europe

¹² Responses provided in Spanish language.

¹³ Responses provided in both French and English language.

Appendix 2-A

Additional Risk-Based Factors

Risk-Based Factors Relevant to the Entity
Informal decision-making process and absence of written internal procedures
Involvement of the owner and/or manager in day to day operations
Operations are limited in one geographical area and there are no cross-border activity or operations spanning different jurisdictions
Absence of investments in subsidiaries or associates
The governance structure does not generally include individuals who are external to and/or independent from the business organization
The entity's owners and management are the same individuals
The organizational structure is not complicated or unusual
Few banking activities
Few or no internal audit structures
Stable legal and regulatory environment
Operations that are less likely to be impacted by rapid technological change
The entity does not operate in a complex or highly regulated industry
The entity has simple financing with no complex financial instruments and does not actively seek third party finance
A business model that is simple and easy to understand
The complexity of the IT environment and whether the entity operates in a simple IT environment.
Degree of public accountability and listing status
Consideration of sector where the company operates and in this regard consideration of exclusion of specific sectors, such as financial and insurance sector, gambling and etc.

Additional Risk-Based Factors

Risk-Based Factors Relevant to the Audit
Limited number of accounting estimates that are not complex or highly subjective
Application of less complex financial reporting standards (e.g. IFRS for SMEs)
No intended reliance on the work of the internal audit function (if an internal audit function exists)
The audit does not involve the use of experts and specialists
The extent and importance of transactions with related parties
History of fraud, restatements or disagreements with management
Competency of key individuals responsible for the preparation of the entity financial statements
Few users to whom the financial statements and the audit report are addressed
Limited volume of transactions
Limited number of material income streams
Whether the entity uses a professional accountant in public practice to assist in preparing its financial statements or has outsourced bookkeeping and/or accounting activities to external providers
Limited number of significant risks are expected to be identified
No cash flow difficulties with potential going concern issues
Presence of simple remuneration schemes with no complex share-based payment arrangements
No significant minority interests and no plans to transfer ownership in the near term
Typically, a limited control-reliance (i.e., limited to certain select areas / accounts) or a non-control reliance approach is adopted
Typically, a limited number of engagement team members
The mix of the engagement team members is typically such that there is a higher proportion of less experienced/less-senior members on the engagement

Appendix 3

Listing of Nvivo Reports and Excel Summary Spreadsheets

Description:	Question # in Discussion paper	Nvivo Word Report Reference:	Excel Summary Sheet Reference:
Types of Entities that Should be Considered LCEs	1	6-B.1	6-C.1
Risk-Based Factors Considered in the LCE Description	1	6-B.1	6-C.1
Underlining Causes of the Challenges with ISAs	2 (b)	6-B.2	6-C.2
Aspects of ISAs that are Difficult to Apply with LCE Audits	2 (a)	6-B.3	6-C.3
Addressing the Challenges with ISAs	2 (b)	6-B.4	6-C.4
Possible Action A - Revising the ISAs	4(a) (i-ii)	6-B.5	6-C.5
Possible Action B - Developing a Separate Auditing Standard for Audits of LCEs	4(a) (i-ii)	6-B.6	6-C.6
Possible Action C - Developing Guidance for Auditors of LCEs	4(a) (i-ii)	6-B.7	6-C.7
Priority of Actions	4(c)	6-B.8	6-C.8
Other Possible Actions	4(b)	6-B.9	6-C.9
Challenges not Within Control and Scope of IAASB Work on Audits of LCEs	3	6-B.10	6-C.10
Other Matters for IAASB Consideration	5	6-B.11	6-C.11

LCE Working Group and Details of Meetings

LCE Working Group Members

1. The LCE Working Group consists of the following members:

- Roger Simnett (Chair)
- Isabelle Tracq-Sengeissen (assisted by Fabien Cerutti)
- Kai Morten Hagen
- Chun Wee Chiew
- Rich Sharko
- Brendan Murtagh
- Gordon Cummings
- Christopher Arnold

Further information about the project can be found [here](#).

Working Group Activities since the March 2019 IAASB Discussion

2. The LCE Working Group met once in person (October 2019) and held one teleconference (November 2019) since the last IAASB discussion in March 2019.

Working Group Outreach

3. The following outreach activities have been undertaken since March 2019:

- In May 2019, the IAASB together with others, convened a second working conference in Paris, France. The two-day conference was a valuable opportunity to gather inputs and views from participants informing the IAASB on the questions raised in the DP.
- Three webinars in English, French and Spanish were delivered in July 2019 to create awareness relating to the Discussion Paper, and encouraging participants to respond to the DP or the IFAC survey (which was also provided in English, Spanish and French).
- The IAASB also undertakes a significant outreach program, with focused interaction with certain stakeholder groups such as IFAC's SMP Committee. In addition, a regional event in Costa Rica included roundtables focused on matters related to audits of LCEs and was facilitated by the IAASB.
- Various surveys, including the IFAC's online survey were conducted, gathering responses from 2,362 stakeholders in total, covering a broad constituency (including academia, preparers, IFAC member organizations, users, NSS, regulators and public practice). These surveys provide valuable insight to the IAASB as it provides inputs from diverse stakeholder constituencies including those who would not necessarily respond to the formal consultation.